

Calendar Lines # 5**Case Name** Nathaniel Cruz et al vs Ford Motor Company et al.**Case No.** 24CV455442**Petition to Compel Arbitration****I. BACKGROUND**

Plaintiffs Nathaniel Dela Cruz and Agnes Tibayan purchased a 2022 Ford Maverick (“Subject Vehicle”) in June 2022 from Bill Brandt Ford (“Dealership”). (Complaint at ¶ 7). Plaintiffs delivered the Subject Vehicle to Dealership for substantial repair on at least one occasion. (*Id.* at ¶ 46). Plaintiffs allege that Dealership “breached its duty to Plaintiffs to use ordinary care and skill by failing to properly store, prepare, and repair the Subject Vehicle in accordance with industry standards.” (*Id.* at ¶ 48). Plaintiffs sued Dealership and Ford Motor Company in December 2024. The sole cause of action alleged against Dealership is for negligent repair.

At issue is Dealership’s petition to compel arbitration, based on the Retail Installment Sales Contract (RISC) signed by Plaintiffs and Dealership when Plaintiffs purchased the Subject Vehicle. Having reviewed the language of the RISC’s arbitration provision and the circumstances of its execution, the court will grant the petition and stay the action.

II. LEGAL STANDARD

Dealership maintains that the Federal Arbitration Act (FAA) governs the arbitration provision based on the language itself and because the agreement affects interstate commerce. (Motion to Compel Arbitration at pp. 6:21-7:1). The arbitration provision states “[a]ny arbitration under this Arbitration Provision shall be governed by the Federal Arbitration Act (9 U.S.C. §§ 1 et seq). and not by any state law concerning arbitration.” (Declaration of Trina Clayton [“Clayton Decl.”], Ex. A at p. 7). Under the FAA, the court’s role is limited to determining “(1) whether a valid agreement to arbitrate exists, and if it does (2) whether the agreement encompasses the dispute at issue.” (*Chiron Corp. v. Ortho Diagnostic Systems, Inc.* (9th Cir. 2000) 207 F.3d 1126, 1130). To determine “whether a valid contract to arbitrate exists,” courts apply “ordinary state law principles that govern contract formation.” (*Davis v. Nordstrom, Inc.* (9th Cir. 2014) 755 F.3d 1089, 1093 [citations omitted]; *Ingle v. Circuit City Stores, Inc.* (9th Cir. 2003) 328 F.3d 1165, 1170).

Code of Civil Procedure section 1281.2 provides: “On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party to the agreement refuses to arbitrate such controversy, the court shall order the petitioner and respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists, unless it determines that: [¶] The right to compel arbitration has been waived by the petitioner; or [¶] (b) Grounds exist for rescission of the agreement.”

In determining the threshold question of whether an arbitration agreement exists between the parties, the court employs a three-step burden shifting analysis. (*Iyere v. Wise Auto Group* (2023) 87 Cal.App.5th 747, 755 (*Iyere*); *Espejo v. Southern California Permanente Medical Group* (2016) 246 Cal.App.4th 1047, 1060). The party seeking to compel arbitration bears the initial burden of showing an agreement to arbitrate. If that burden is met, the burden shifts to the opposing party to show a factual dispute regarding the agreement’s existence. If the opposing party does so, then the burden shifts back to the proponent of arbitration to show the existence of a valid agreement by a preponderance of the evidence. (*Iyere, supra*, 87 Cal.App.5th at p. 755).

III. ANALYSIS**A. A VALID AGREEMENT TO ARBITRATE EXISTS**

The arbitration provision in the RISC provides, in relevant part:

Any claim or dispute, whether in contract, tort, statute or otherwise (including the interpretation and scope of this Arbitration Provision, any allegation of waiver of rights under this Arbitration Provision, and the arbitrability of the claim or dispute), between you and us or our employees, agents, successors or assigns, which arises out of or relates to your credit application, purchase or condition of this Vehicle, this contract or any resulting transaction or relationship (including any such relationship with third parties who do not sign this contract) shall, at your or our election, be resolved by neutral, binding arbitration and not by a court action.

(Clayton Decl., Ex. A at p. 7). Plaintiffs do not dispute that they signed the RISC when they purchased the Subject Vehicle. Plaintiffs signed and acknowledged the following notice of the arbitration provision: “**Agreement to Arbitrate.** By signing below, you agree that pursuant to the Arbitration Provision on page 7 of this contract, you or we may elect to resolve any dispute by neutral, binding arbitration and not by a court action. See the Arbitration Provision for additional information concerning the agreement to arbitrate.” (*Id.* at p. 1). The RISC further drew the arbitration provision to Plaintiffs’ attention through the following disclaimer: “. . . YOU ACKNOWLEDGE THAT YOU HAVE READ BOTH SIDES OF THIS CONTRACT, INCLUDING THE ARBITRATION PROVISION ON PAGE 7 OF THIS CONTRACT, BEFORE SIGNING BELOW.” (*Id.* at p. 6). Plaintiffs’ signatures on those sections of the RISC indicates express assent to the arbitration provision. (See *Mendoza v. Trans Valley Transport* (2022) 75 Cal.App.5th 748, 777 [“ ‘ ‘A party’s acceptance of an agreement to arbitrate may be express, as where a party signs the agreement.’ ”]).

Plaintiffs argue Dealership failed to properly authenticate the RISC and thus failed to meet its burden of proving the existence of a valid agreement to arbitrate. “The moving party ‘can meet its initial burden by attaching to the [motion or] petition a copy of the arbitration agreement purporting to bear the [opposing party’s] signature. Alternatively, the moving party can meet its burden by setting forth the agreement’s provisions in the motion.’ ” (*Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 165, internal citations and quotations omitted). Here, Dealership attached a copy of the RISC signed by Plaintiffs as Exhibit A to the Declaration of Trina Clayton. Dealership has also set forth the terms of the arbitration provision in the motion itself. (Mtn. to Compel Arbitration at pp. 3:17-4:9). In any event, “[f]or purposes of a petition to compel arbitration, it is not necessary to follow the normal procedures of authentication.” (*Gamboa, supra*, 72 Cal.App.5th at pp. 165-166). Dealership has shown a valid agreement to arbitrate.

B. THE SCOPE OF THE ARBITRATION AGREEMENT COVERS PLAINTIFF’S CLAIMS

Here, the arbitration provision broadly applies to “[a]ny claim or dispute, whether in contract, tort, statute or otherwise. . . , between you and us. . . , which arises out of or relates to your credit application, purchase or condition of this Vehicle, this contract or any resulting transaction or relationship.” (Clayton Decl., Ex. A at p. 7). Plaintiffs’ sole cause of action against Dealership is a tort action for negligent repair. Plaintiffs and Dealership are the parties to the transaction. Plaintiffs’ action relates to the condition of the vehicle, namely the condition of the vehicle following repair by Dealership. That the allegedly negligent repair occurred after the parties signed the RISC is ultimately irrelevant because the arbitration provision states it applies to both “this contract” and “any resulting transaction or relationship” between the parties. Plaintiffs’ claim against Dealership is covered by the arbitration provision.

Plaintiffs rely on *Ford Motor Warranty Cases* (2025) 17 Cal.5th 1122 to argue “warranty performance is not arbitrable through the form Sales Contract proffered by [Dealership].” (Opposition at p. 2:8-10). That opinion is distinguishable. *Ford Motor Warranty Cases* involved an attempt by an automobile manufacturer to compel arbitration based on a sales contract between a buyer and a dealership to which the manufacturer was not a party. The Supreme Court rejected the manufacturer’s attempt to compel arbitration on a third party equitable estoppel theory. (*Id.* at p. 1126). By contrast, here the entity petitioning to compel arbitration is a party to the contract containing the

arbitration provision. The RISC is an agreement Plaintiffs entered into with Dealership. As the dealership and a party to the agreement, Dealership may compel arbitration of Plaintiffs' claims.

The court does not reach Dealership's arguments about lack of waiver and lack of unconscionability. Plaintiffs forfeited any argument about waiver and unconscionability by not addressing Dealership's arguments on those points.

C. THIS ACTION IS STAYED IN ITS ENTIRETY

Dealership requests a stay of the entire action. As Dealership notes, Plaintiffs have sued two entities, Ford Motor Company and Dealership, for different causes of action. Dealership argues "[p]roceeding against both defendants in separate forums carries an extremely high risk of rendering inconsistent rulings and rendering arbitration as to [Dealership] ineffective." (Reply at p. 8:22-24). Plaintiffs have not offered any arguments opposing a stay to the entire action. A stay of these proceedings is proper under Code of Civil Procedure § 1281.4 and 9 U.S.C. § 3. The court STAYS this action in its entirety pending the outcome of arbitration.

IV. CONCLUSION

Based on the foregoing, the petition to compel arbitration is GRANTED. This action is STAYED in its entirety pending the outcome of arbitration.

The Court will prepare the formal Order.

Calendar Lines # 6

Case Name Jaron Toilolo vs Wei-Chen Chen et al

Case No. 25CV474904

Demurrer

Before the court is defendants Wei-Chih Chen and Yield Engineering Systems, Inc.'s Demurrer to First Amended Complaint. Pursuant to California Rule of Court 3.1308, the court issues its tentative ruling as follows.

I. BACKGROUND

On September 16, 2023, plaintiff Jaron Julius Toilolo ("Plaintiff") was stopped at a red light on Brokaw Road waiting to make a left turn on to Zanker Road. (First Amended Complaint ("FAC"), ¶6). When the light turned green, Plaintiff proceeded to make a left turn when defendant Wei-Chih Chen ("Chen"), driving at a high rate of speed, suddenly ran the red light at the intersection and struck Plaintiff's vehicle on the driver's side. (*Id.*) Plaintiff sustained serious injuries, property damage to his vehicle, and wage loss due to this accident. (FAC, ¶¶8 – 10).

On or about May 22, 2025, Plaintiff and defendant Chen entered into a written settlement agreement relating to the accident of September 16, 2023, whereby, in exchange for a payment of \$15,000 from the insurer of the rental vehicle defendant Chen was driving, Plaintiff released defendant and other parties from all liability for the accident. (FAC, ¶12 and Exh. A). At the time of signing the release, Plaintiff was ignorant of the existence of any other insurance policy covering defendant and believed the \$15,000 policy provided by the car rental company to defendant was the only insurance policy covering defendant that was available to Plaintiff. (FAC, ¶13). Plaintiff intended to file a claim for underinsured motorist benefits under his own automobile insurance policy. (*Id.*)

Thereafter, on July 11, 2025, Plaintiff discovered defendant Chen had valid liability coverage through Travelers Insurance. (FAC, ¶14). Had Plaintiff known this fact, he would not have signed the release. (*Id.*) Plaintiff's signature on the release was the result of Plaintiff's unilateral mistake of fact. (*Id.*) Defendant Chen knew of or suspected the